

Some investments are less tax-efficient than others. Corporate bond interest is taxed at a higher rate than stock dividend income. Short-term capital gains are taxed at a higher rate than long-term capital gains. Since different investments and different types of accounts are taxed differently, investors can reduce their annual tax burden by placing appropriate investments in the right accounts. Investments that distribute a high level of taxable income should be placed in tax-deferred or tax-free accounts, and investments with low-tax dividend distributions and long-term capital gains should be placed in taxable accounts.

Examples of investments that you should consider placing in a tax-deferred or tax-free account include:

- Corporate bonds and bond funds
- Certificates of deposit, agency bonds, and mortgages
- Mutual funds that have a high turnover of securities
- REITs and REIT mutual funds
- Commodities funds

Examples of investments that you should consider placing in a taxable account include:

- Low-turnover equity funds, including equity index funds
- Broad market equity exchange-traded funds
- Municipal bonds and municipal bond funds

Saving on taxes is a good idea; however, nothing is as easy as it seems. Tax location strategies have side effects that may hinder investment strategy. Here are issues to consider:

- Tax location strategies make rebalancing difficult. Having different investments stretched across several accounts creates a rebalancing quagmire.
- Your personal tax rate is not consistent. The ideal tax location strategy today may not be the ideal strategy five years from now.
- Tax rates today are not likely to be the tax rates in the future. Any change may affect your strategy.

One more concern with asset location that is worth mentioning deals with human behavior. Investors sometimes compare the performance of the